GST (Goods and Services Tax)

It is a uniform tax on goods and services throughout the country. It has been implemented from July 1, 2017 with the motto of One Nation, One tax and One market.

In clause 12A of Article 366 of Constitution the GST is defined as follows:

"Goods and service tax" means any tax on supply of goods or services or both except taxes on the supply of the alcoholic liquor for human consumption.

The clause 26A of Article 366 of the Constitution says "Services" means anything other than goods.

This tax is introduced with the intention of simplifying indirect tax landscape of the country. There were multiple indirect taxes levied by the centre and state. Most of them are subsumed into GST.

The list of indirect taxes of the centre subsumed into GST are Central Excise Duty (except few fossil fuels and tobacco), Additional Excise Duties, Excise Duty levied under the Medicinal and Toilet Preparations (Excise Duties) Act, 1955, Service Tax, Additional Customs Duty commonly known as Countervailing Duty, Special Additional Duty of Customs, and Surcharges and Cess on these taxes and duties.

The list of indirect taxes of the states subsumed into GST are Value Added Tax/Sales Tax (except few fossil fuels and tobacco), Entertainment Tax (other than the tax levied by the local bodies), Central Sales Tax (levied by the Centre and collected by the States), Octroi and Entry tax, Purchase Tax, Luxury tax, Taxes on lottery, betting and gambling and State cess and surcharges on these taxes and duties.

Note: Please refer the heading 'The Tax Regime of the Centre and States' to know what are the taxes still kept out of the ambit of GST.